on intermediaries, leaving them vulnerable to questionable advice and delays in executing orders. Opening demat and trading accounts was cumbersome, involving extensive paperwork, in-person verifications and significant delays. The advent of online trading in February 2000 offered a glimmer of hope, but remained an elite domain for years, limited to those with desktops and stable internet connections. For those constantly on the move or from semi-urban and rural areas, barriers persisted, leaving them cut off from real-time market action and burdened by additional costs.

THE EASE OF LIVING

Today, it's all in the palm of your hand. Mobile apps have revolutionised investing, offering features like integrated UPI payments, real-time portfolio tracking, algorithmic trading and educational content for investors. No longer reliant on brokers or physical paperwork, investors can manage their finances with just a few taps.

Retail investments through mobile apps now account for 25 per cent of the total trading volume, making it the second-largest segment after co-location traders

This transformation began in 2010 when both the Bombay Stock Exchange (BSE) and National Stock Exchange (NSE) tied up with local mobile phone operators and software firms to provide real-time data feed and trading products on mobile apps. This was the time when equity markets were on the rebound from the global financial meltdown of 2008. With India's household savings rate hovering around 24 per cent, the need was felt to channel these funds beyond traditional avenues like fixed deposits, gold and real estate into the stock markets. The real push came in 2015, spearheaded by the Securities and Exchange Board of India (SEBI), which encouraged technology adoption to expand the investor base beyond institutional investors. SEBI's measures to safeguard retail investors—like two-factor authentication and robust KYC norms—added further momentum. Concurrently, mobile penetration in rural areas, coupled with affordable data rates, laid the groundwork for change.

The emergence of discount brokers such as Zerodha, Upstox and 5paisa, alongside traditional players like ICICI Direct and Kotak Securities, brought intuitive, feature-rich mobile apps to the fore. These platforms democratised access, allowing users to trade equities, derivatives, mutual funds and even apply for IPOs. During the Covid-19 lockdowns, the adoption of mobile trading surged. By mid-2024, the NSE boasted over 100 million unique investors, marking a 240 per cent rise since FY19. Retail investments done through mobile apps now account for 25 per cent of the total trading volume, the second-largest segment after co-location traders (who set up their server within the exchange premises). Overall, retail investors, who accounted for 33 per cent of total trade in FY16, are likely to cross 38 per cent by the end of FY25. This shift is drawing investment activity from bustling metros to quieter towns and rural areas, reshaping India's financial landscape. ■

HOW IT TRANSFORMED MY LIFE

"Mobile-based trading is handy, quick and more real-time"



VIMAL CHATURVEDI, 42
IT professional, Greater Noida, UP

For many young retail investors like Vimal Chaturvedi, the Covid-induced lockdown came as a watershed moment. He had downloaded the Zerodha app in 2017, yet it was only in 2020 that he actually started to explore the stock trading app and investment opportunities threadbare. Until then, he had been relying on long-term passive options like mutual funds and occasional desktop-based purchases. "Mobile-based trading is handy, quick and more real-time," he says.

It was the time when the apps also made quick corrections to strengthen data security and other changes in their business models to encourage retail investors. As such, these apps are zero-brokerage houses; you pay commission only when you sell. "It adds to the investors' confidence."

Vimal now boasts a portfolio of Rs 15 lakh and trades using three apps, allowing him "the bandwidth to spread my basket". The apps not only add to the ease of investing but also help learn trading skills and stay informed. "One can make transactions during a quick coffee break," he adds, "It's that easy now." ■